

ASCII MASTER FLOW – PANEL 1/12: RECOGNITION CLOCK

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| DUE DATE -> overdue immediately -> product-specific prudential clock |
| Term loan >90 days | bills >90 days | agriculture crop-season tests |
| CC/OD out of order: excess/no credits/insufficient interest credits, 90 days |
| Recognition is borrower-wise within a bank; security normally does not defer|
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ASCII MASTER FLOW – PANEL 2/12: CLASSIFICATION AND LOSS ABSORPTION

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| STANDARD -> SUBSTANDARD <=12 months NPA -> DOUBTFUL -> LOSS |
| GNPA -> less prescribed provisions/adjustments -> NNPA |
| Provision charges profit | write-off changes books | waiver ends claim |
| Recognition reveals loss; it does not create the borrower's cash-flow shock |
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ASCII MASTER FLOW – PANEL 3/12: NPA CAUSAL LOOP

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| appraisal/project delay/shock/governance -> weak cash flow -> default |
| -> NPA -> income reversal + provision -> profit/capital pressure      |
| -> weak fresh credit -> investment slowdown -> borrower weakness    |
| ICR signals servicing capacity; Twin Balance Sheet is a 2016-17 diagnosis |
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ASCII MASTER FLOW – PANEL 4/12: RESTRUCTURING BOUNDARY

Viable concession + transparent recognition -> RESTRUCTURING	
Temporary exceptional relief -> FORBEARANCE	
Fresh finance used only to hide old dues -> EVERGREENING	
Current RBI rule: classification continues while resolution is considered	
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ASCII MASTER FLOW – PANEL 5/12: BASEL CAPITAL

Basel I -> credit risk	Basel II -> Pillars 1/2/3	Basel III -> resilience
CRAR = eligible capital / RWA; RWA covers credit, market, operational risk		
Capital quality: CET1 -> AT1 -> Tier 2		
RBI 01-04-2025: 5.5 CET1	7 Tier1	9 CRAR +2.5 CCB (covered SCBs)
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ASCII MASTER FLOW – PANEL 6/12: LEVERAGE AND LIQUIDITY

Leverage: Tier1/exposure -> 4% D-SIB; 3.5% others from 01-10-2019	
LCR: HQLA/30-day stressed net outflow >=100% from 01-01-2019	
NSFR: available/required stable funding >=100% from 01-10-2021	
Solvency and liquidity overlap in stress but are not the same condition	
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ASCII MASTER FLOW – PANEL 7/12: EARLY SUPERVISION AND PCA

SMA-0 <=30 SMA-1 >30-60 SMA-2 >60-90 -> NPA trigger	
AQR -> classification check CRILC -> shared large-credit information	
PCA 02-11-2021/effective 01-01-2022: capital + NNPA + leverage	
PCA restricts and repairs; it is not liquidation or DICGC payout	
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ASCII MASTER FLOW – PANEL 8/12: RBI RESOLUTION ROUTE

Default/credit event -> 30-day Review Period -> documented strategy	
Multi-lender ICA -> 75% value + 60% number binds signatories	
ICE from Rs100 cr; two from Rs500 cr; RP4+; 180-day implementation clock	
Delay -> extra provision; negotiation never freezes asset classification	
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ASCII MASTER FLOW – PANEL 9/12: RECOVERY TOOL MAP

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| SARFAESI s13(2): 60-day notice -> s13(4) secured-asset measures -> DRT remedy|  
| RDB Act 1993 -> DRT adjudication/recovery -> DRAT appeal |  
| ARC -> acquires financial asset -> reconstruction/recovery -> Security Receipt|  
| Recovery of one claim is not collective insolvency or guaranteed value |  
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ASCII MASTER FLOW – PANEL 10/12: IBC CONTROL SHIFT

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| NCLT admission -> section 14 moratorium -> IP -> claims -> CoC |  
| CoC plan approval >=66% voting share -> NCLT legality check -> binding plan |  
| No plan/statutory trigger -> liquidation -> section 53 waterfall |  
| IBBI regulates ecosystem; personal-guarantor route operates from 01-12-2019 |  
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ASCII MASTER FLOW – PANEL 11/12: NARCL AND CONDUCT

	NARCL acquires -> 15% cash + 85% SR -> IDRCL manages resolution	
	Guarantee supports eligible SR shortfall; asset transfer does not erase loss	
	NPA = asset status wilful default = deliberate conduct fraud = deception	
	RBI Directions: fraud 15-07-2024 wilful default 30-07-2024	
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ASCII MASTER FLOW – PANEL 12/12: RESPONSIBLE INCLUSION

	PMJDY 28-08-2014 -> BSBD -> payments/DBT -> BC last mile	
	PSL -> MUDRA -> SHG/JLG -> suitable productive credit	
	FI-Index: Access + Usage + Quality; account count alone is incomplete	
	Answer: recognise -> absorb -> resolve -> govern -> include safely	
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